CALDERWICK PUMP SYSTEMS LTD

Procurement Policy, Version 4

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Classification	Internal

1. Purpose and scope

This policy sets how Calderwick Pump Systems Ltd buys goods and services. It covers every purchase by any Calderwick site, whatever the value or the budget it is charged to. It does not cover employee expenses, which follow the Travel and Expense Policy, or payroll and taxes.

This policy decides how a supplier is chosen. Who approves the purchase order is decided separately by the Purchase Approval Authority Matrix (FIN-AAM) version in force on the date the order is raised.

2. Principles

- Value for money over the whole life of what we buy, not only the lowest price.
- Fair and open competition: suppliers are treated equally and given the same information.
- Separation of duties: the person who requests a purchase does not approve it alone.
- Written records of every decision, kept for seven years.
- Responsible supply chains: suppliers must accept the Supplier Code of Conduct (PRC-SCC-01).

3. Competition thresholds

The estimated total value of the purchase, excluding tax and over the full term of any contract, sets how many offers are needed.

Table 1 - Competition thresholds

Estimated value (USD)	Minimum competition	Who runs it
Up to 10,000	One written quote	Requester or buyer
10,001 to 100,000	Three written quotes	Buyer or procurement manager

Estimated value (USD)	Minimum competition	Who runs it
Above 100,000	Formal tender with sealed bids and an evaluation panel of at least three people	Procurement manager; panel chaired by the Head of Procurement or a delegate

3.1 Framework agreements

Where Calderwick has a framework agreement with pre-agreed prices, buyers may place call-off orders under it without new quotes up to USD 150,000 per call-off. A call-off above USD 150,000 needs a mini-competition between the framework suppliers, or, if the framework has only one supplier, a written evaluation of the offer by a panel of at least three people.

3.2 Single-source purchases

A purchase may be made from one supplier without competition only when there is a written justification, for example a single compatible product or an emergency. The justification is approved by the Head of Procurement and, for values above USD 100,000, also by the Chief Financial Officer.

4. Tender evaluation

Tender evaluation criteria and their weights are set before bids are opened and are shared with all bidders. The usual weighting is 60% technical and 40% price; any other weighting needs the Head of Procurement's approval. Each panel member scores independently; the panel then agrees final scores and records the reasons. The panel's recommendation and the approved purchase order value are kept with the tender file.

5. New suppliers

Before a new supplier receives its first order, Procurement completes supplier onboarding: a financial check, a check of insurance certificates, sanctions screening, and the supplier's written acceptance of the Supplier Code of Conduct. Procurement gives every supplier a risk rating of Low, Medium or High. High-risk suppliers are reviewed by the General Counsel before the first order and every year after.

Table 2 - Supplier risk ratings

Rating	Typical case
High	Critical service with no ready alternative, large project supplier, or a supplier with a history of failures
Medium	Important supplier with alternatives available within weeks
Low	Standard goods or services with many alternatives

6. Contracts and contract owners

A written contract is required for any purchase above USD 25,000 and for any service performed on a Calderwick site, whatever its value. Every contract names a Calderwick contract owner by role. The contract owner:

- reviews the supplier's performance at least once a month for High-risk suppliers and once a quarter for others;

- claims any service credits or penalties within the deadline in the contract and sends the claim to accounts payable;
- keeps the supplier risk entry in the risk register up to date;
- starts the renewal or re-tender at least six months before the contract ends.

Contracts are signed according to the contract signing authorities set by the General Counsel (LEG-SIGN-01).

7. Conflicts of interest

Anyone involved in choosing a supplier must declare any personal interest in a bidder before the process starts. A person with a conflict may not sit on the evaluation panel. Gifts and hospitality from bidders are never accepted during a tender.

8. Emergency purchases

When equipment failure stops production or testing, the emergency purchase rule of the approval matrix applies (section 5 of FIN-AAM-01). The competition rules of this policy may be set aside for the emergency repair only; any follow-up or planned purchase goes through normal competition.

9. Breaches

Purchases made without following this policy are reported to the Chief Financial Officer. Internal Audit tests compliance with this policy at least once a year and reports the results to the Audit Committee.